RBC Capital Markets

Discussion Materials

November 10, 2024

STRICTLY PRIVATE AND CONFIDENTIAL

DAVE & BUSTER'S

RBC Capital Markets

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[Market Update and RBC Overview]

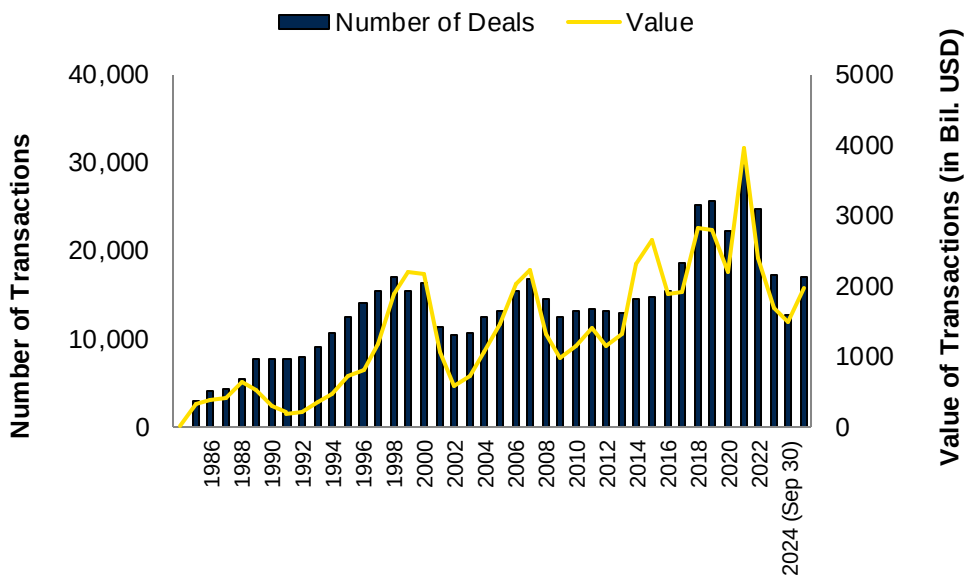
Section I

Capital Markets

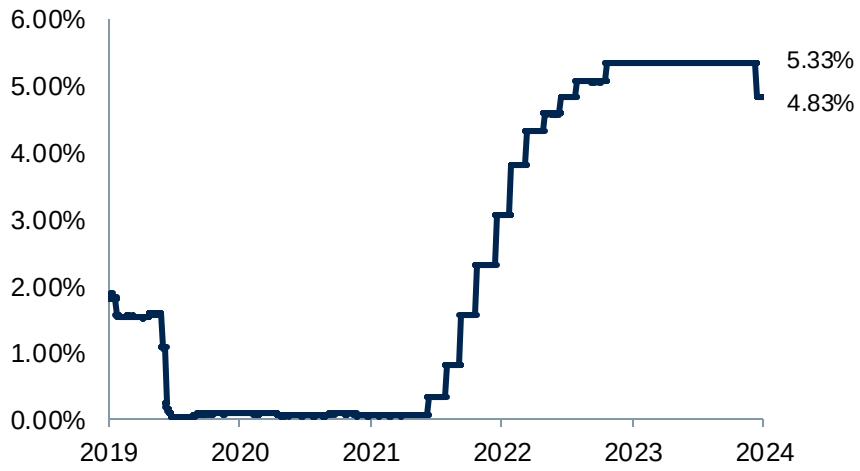
Market Update

Current State of the Capital Market

Mergers & Acquisitions: North America



US Federal Funds Rate Change



- **M&A deals** have been on **the rise lately**, recovering from the downturn from the pandemic
- M&A deals are expected to rise further in 2025, with factors like **pent-up demand** and corporate strategies driving this rebound
- Our deal team believes now is the **optimal timing** for the transaction based on such factors

- **Interest rates** have been **cut for the first time** in the last 4 years, which will allow **more availability for capital**
- The **street is optimistic** about demands, as more availability to capital will allow more successfully completed deals
- This adds more motives for the deal to be initiated instantly

Sources: Institute for Mergers, Acquisitions, & Alliances, Federal Reserve Economic Data (FRED)

Potential Next Steps for Board of Directors

Five Crucial Decisions to Consider

Step 1

- **Appoint a specialized financial advisor with professionalism in complex M&A transactions**
  - Objective: Obtain access to specialized financial expertise to facilitate the transaction
  - Action: **Engage a M&A sell-side specialist** with deep experience in the industry and relevant deal size

Step 2

- **Evaluate the appropriate strategic options**
  - Objective: Determine the most beneficial course of action
  - Action: Assess the **optimal timing to sell** the company or other alternatives

Step 3

- **If elected to pursue the sale process, define the correct set of process**
  - Objective: Define the scope and structure of the transaction
  - Action: Broad Auction vs. Targeted Auction, Strategic Buyer vs. Financial Buyer, etc.

Step 4

- **Execute the desired process in an efficient and effective manner**
  - Objective: Ensure **smooth execution of the agreed-upon strategy**
  - Action: Collaborate with advisors to manage sales process, engage potential buyers (if sale pursued)

Step 5

- **Evaluate the deal structure**
  - Objective: **Maximize value** while **minimizing the risks**
  - Action: Explore transaction structures (cash/stock/hybrid), deal certainty and risks, and deal size

Why RBC

The Qualifications that RBC Possesses

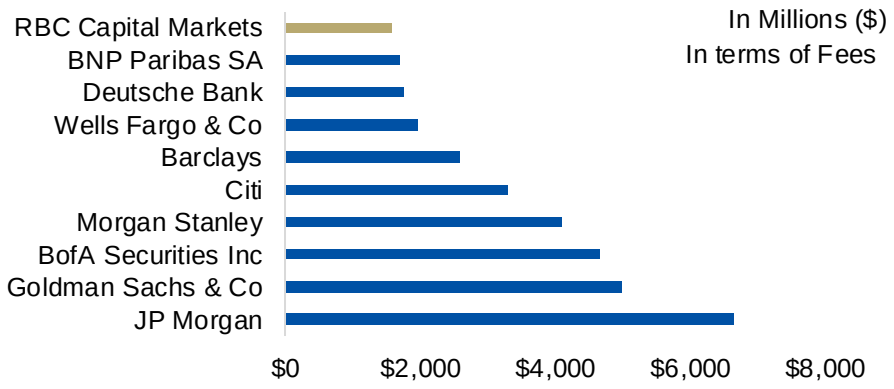
Criteria	RBC Qualifications
Market Leading Investment Banking Practice	▪ **#1 Mid market M&A advisor** in North America ▪ **#1 M&A advisor** in Canada ▪ #9 Largest global bank by market capitalization ▪ Reputation for advising high quality companies and **assisting towards desired outcomes**
Strategic Advisor with Credibility	▪ Reputable advisor of choice for complex situations ▪ High credibility with institutional investors ▪ Leading financial services partner valued for expertise
Profound Sector Expertise	▪ Best Investment Banks for M&A: Retail & Consumer Goods - 2024 ▪ **Robust relationships** with the **potential acquirers** in the sector
Independent and Equipped for Immediate Engagement	▪ **No historical affiliation** with the management of Dave & Buster's ▪ Composed of skilled teams with specialized expertise relevant to the project ▪ Fully prepared to initiate operations **without delay**

Sources: RBC Investor Relations - 10-K (2023), Leaders League Group

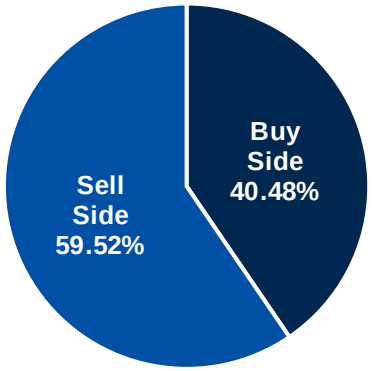
RBC's M&A Franchise

Who We Are: A Leading Investment Bank Prioritizing the Clients' Desired Goals

Capital Markets Deals League Table



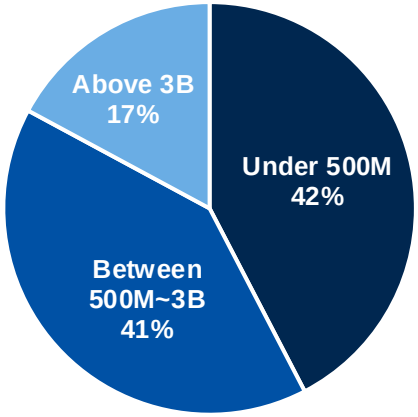
Sell Side Focused Advisor



Top M&A Advisors in terms of Transaction Value

Financial Advisor	Value ($Mil)	Deals
1. Goldman Sachs & Co.	413,202.70	190
2. JPMorgan Chase & Co.	358,381.60	163
3. Morgan Stanley	326,105.40	133
4. Citigroup	278,459.40	94
5. Evercore, Inc.	176,535.90	85
6. BofA Securities	176,376.50	117
7. Centerview Partners LLC	162,856.90	62
8. Barclays Plc	157,562.30	73
9. RBC Capital Markets	**134,201.10**	**74**
10. Jefferies LLC	133,961.00	131

40% of Deals are between 500M~3B TEV



Sources: Financial Times, FactSet, LSEG Data & Analytics
Notes: All four charts and graphs are computed YTD 2024

Capital Markets Team's Experience

Notable Recent Transactions

Jul 2024

C $3.4 billion

Sale of Stelco to Cleveland-Cliffs

Jul 2024

US $3.3 billion

Energy Transfer completes acquisition of West Texas Gas from Energy Transfer

Apr 2024

US $6.4 billion

IBM to acquire HashiCorp

Mar 2024

C $13.5 billion

Royal Bank of Canada completes acquisition of HSBC Canada

Mar 2024

Undisclosed

Sale of Kroger Specialty Pharmacy to CarelonRx

Feb 2024

US $3.9 billion

Sale of Enerplus to Chord Energy

Aug 2023

US $5.2 billion

EQT Corporation to acquire Tug Hill Operating and XcL Midstream

Jun 2023

C $1.3 billion

Transalta acquires Transalta Renewables

Jun 2023

US $1.4 billion

Baytex Energy acquires Ranger Oil

Oct 2022

US $1.6 billion

Sale of FireBird to Diamondback Energy

Sep 2022

Undisclosed

Holcim acquisition of Polymers Sealants North America

Aug 2022

C $11.4 billion

Pembina and KKR agree to merge their western Canadian natural gas processing assets

Sources: RBC Capital Markets

[Overview of Dave & Buster's and Industry Landscape]

Section II

Capital Markets

Dave & Buster's Profile

Overview of Client Firm

Description

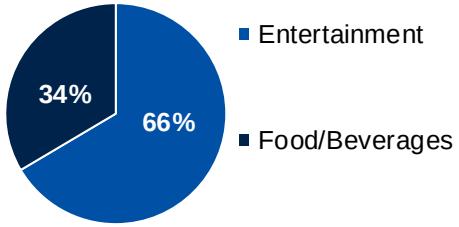
- American entertainment/dining business offering a combined experience of a restaurant, bar, and arcade. Dave & Buster's currently owns over 150 locations in the United States, Puerto Rico, and Canada

General Overview

- Headquarters: Dallas, TX
- Founders: David O. Corriveau, James W. Corley
- Founded: 1982, Texas
- Traded As: PLAY (NASDAQ), S&P 600 Component
- Subsidiaries: Main Event
- Industry: Entertainment/Restaurant

Revenue Segmentation

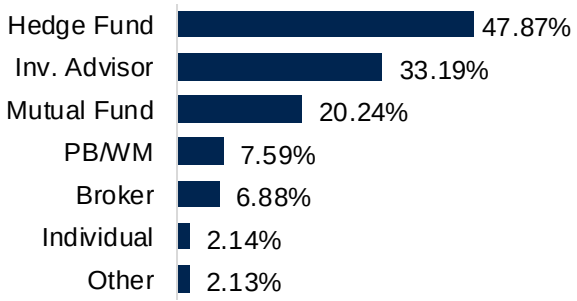
- **Entertainment**
  - Sales of game play credits & chips
  - Party rentals & gift card breakages
- **Food/Beverages**
  - Alcoholic beverages
  - Food & non-alcoholic beverages

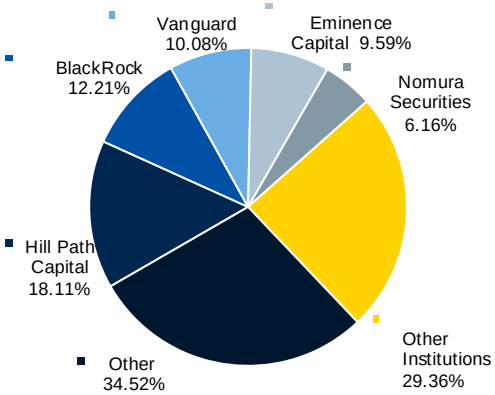


Financial Information

- **Share Price**: $ 37.38 (as of Oct 27, 2024)
- **Market Cap**: $ 1,609.07M (as of Oct 27, 2024)
- **Revenue**: $ 2,205.30M (Jan 2024)
- **EBITDA**: $ 544.60M (Jan 2024)
- **EPS**: $ 2.88 (Jan 2024)
- **P/E Ratio**: 19.17 (Jan 2024)
- **Credit Rating**: B Rating – S&P

Ownership Information





Sources: FactSet, D&B's Investor Relations - 10-K (2023)

Industry Landscape

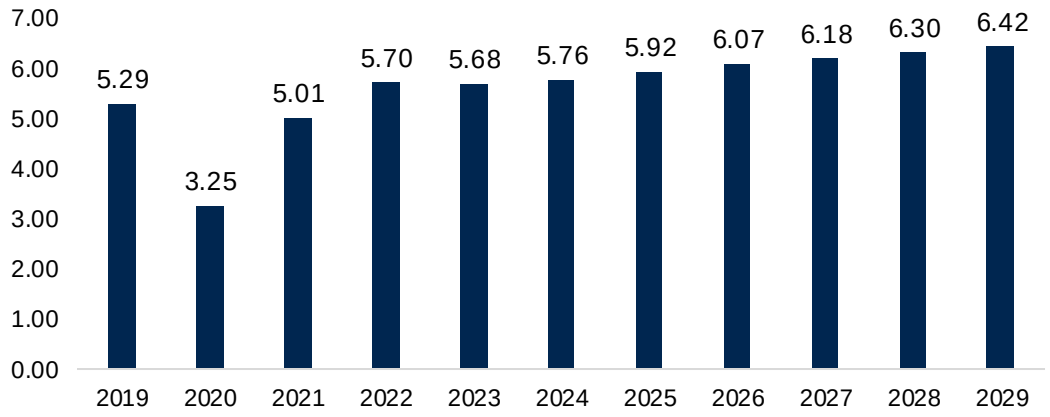
Dave & Buster's: A Market Leader in the Industry

Arcade, Food & Entertainment Industry Overview

- The **resurgence of retro-style arcade** complexes has led to **increased attendance**. These establishments, which combine arcade games, dining, and entertainment, are thriving due to the public's growing **nostalgia** for past experiences
- The emergence of **new gaming technologies** is set to **intensify competition**. With the growing popularity of new gaming consoles, arcades will **adopt these systems**, along with cutting-edge innovations like augmented reality (AR) and virtual reality (VR), to **take advantage of this upward trend**

Industry Revenue Growth Expectations

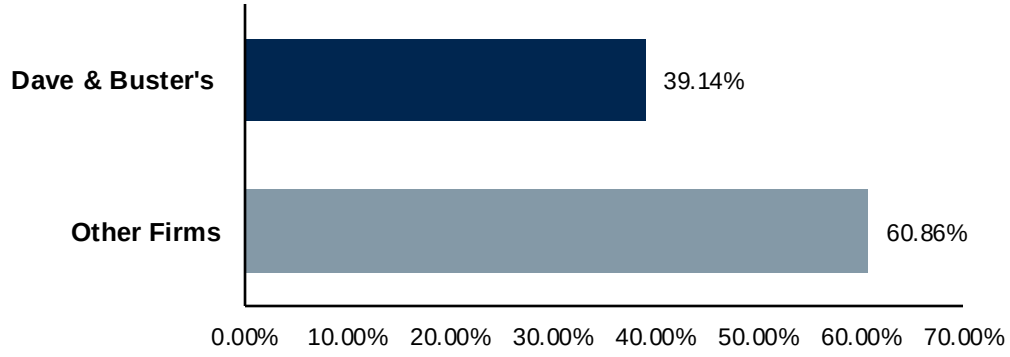
$ In Billions



Key External Drivers & Expectations

#1 Per Capita Disposable Income	Positive
#2 Consumer Confidence Index	Positive
#3 Per Capita Expenditure on Alcohol	Positive
#4 Time spent on Leisure & Sports	Positive
#5 Price of Electric Components	Negative

Dave & Buster's Market Share in this Niche Industry



Sources: IBISWorld, FactSet

Dave & Buster's Current Performance and Future Improvements

Dave & Buster's Significant Progress with more Opportunities

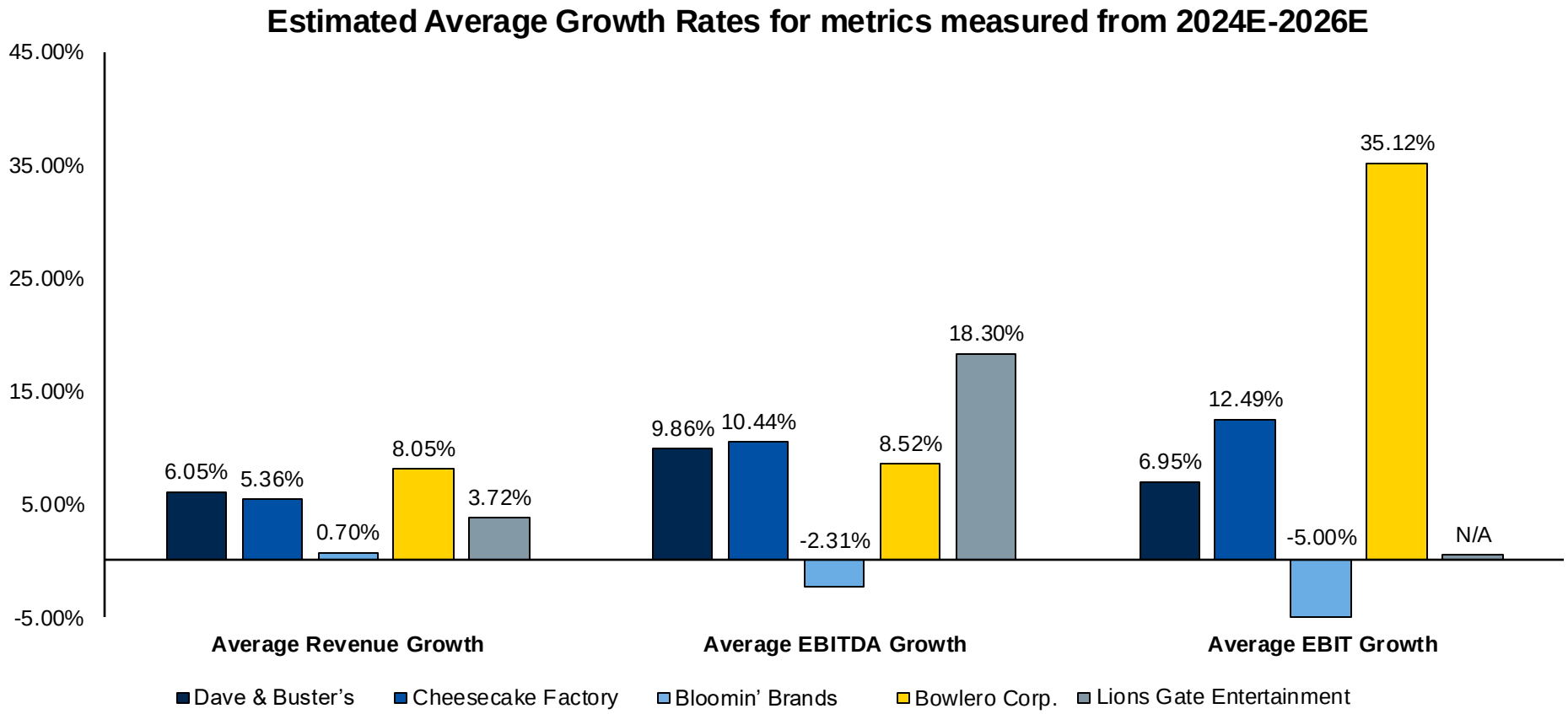
Items	Current Initiations	Progress
Strategic Pricing	▪ Conducted multiple price tests at various locations ▪ Increased chip prices (first time in 20+ years)	▪ Significant **improve in spend and sales trends** without impacting customer satisfaction
Technology Improvement	▪ Upgraded IT infrastructure (wi-fi, payment processors) in 50% of stores ▪ Introduced customer-facing technology (kiosks/tablets) in majority of locations	▪ Improvement in **customer satisfaction** ▪ Improvement in **labor efficiency** after quarter end
Cost Savings	▪ Executed on ~50% of identified cost savings ▪ Realized ~19% of identified cost savings	▪ Improvement in **gross margin percentage** ▪ identification of additional margin opportunities

Items	Future Initiations	Adjusted EBITDA Opportunity
Remodels	▪ Increase frequency of remodel openings ▪ Have 35% of system updated by FY2024, 68% by FY2025 and 100% by FY2026	▪ **$40 to $75M**
New Locations (Domestic)	▪ Open 10 additional Total Company stores in FY2024 ▪ Open 16 Total Company stores annually in FY2025 and beyond	▪ **$130 to $155M**
New Locations (International)	▪ Open first international Dave & Buster's location ▪ Continue signing additional franchise agreements and opening international franchised locations	▪ **$60 to $80M**

Sources: D&B's Investor Relations - Investor Day Update (June 2024)

Dave & Buster's Business Expectations vs. Selected Comparable Companies

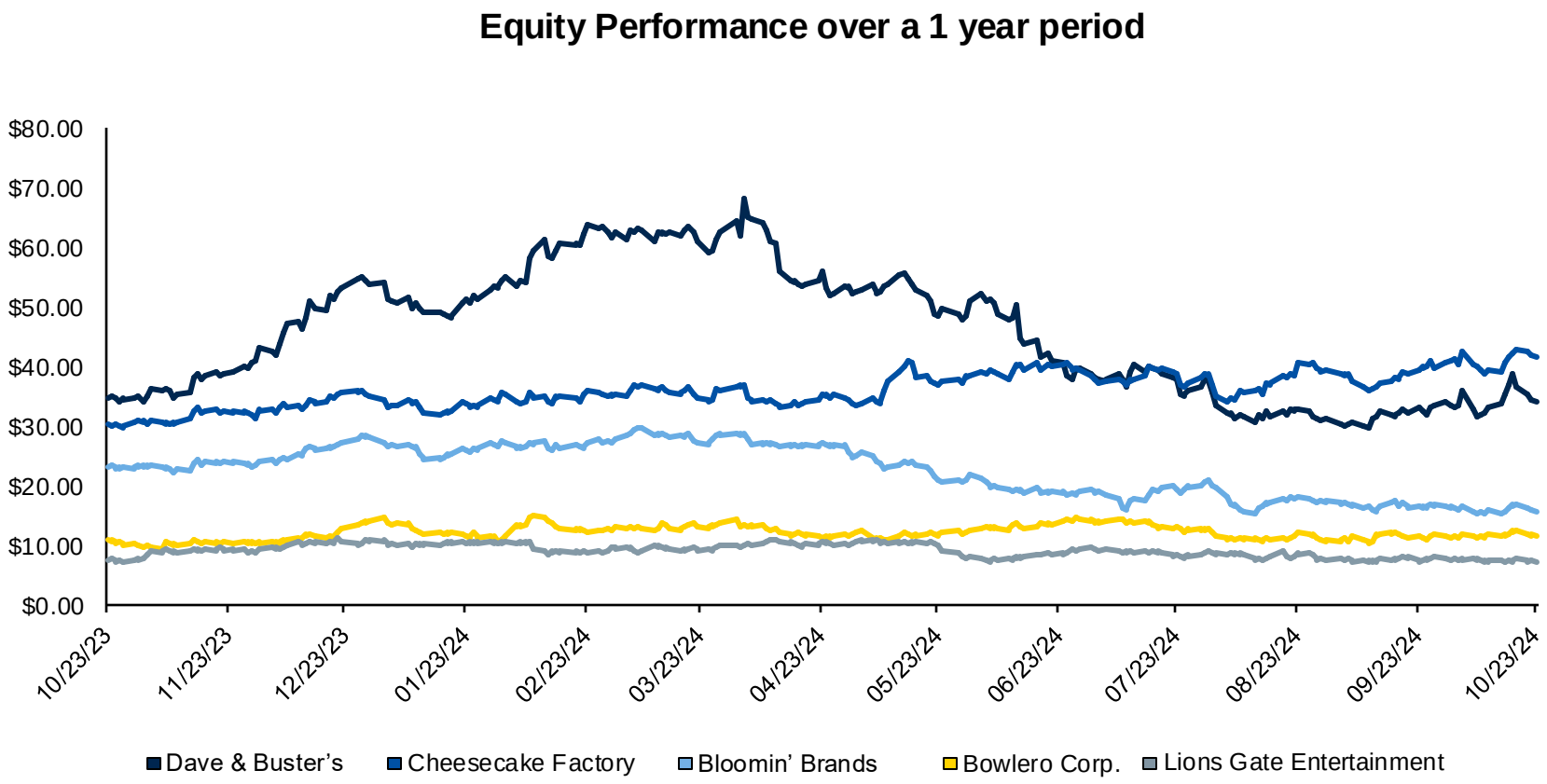
Dave & Buster's is a Competitive Player even when Expanding the Industry



Sources: FactSet

Dave & Buster's Equity Performance vs. Selected Comparable Companies

Poor Recent Stock Performance Compared to its Comparable Companies



Sources: FactSet

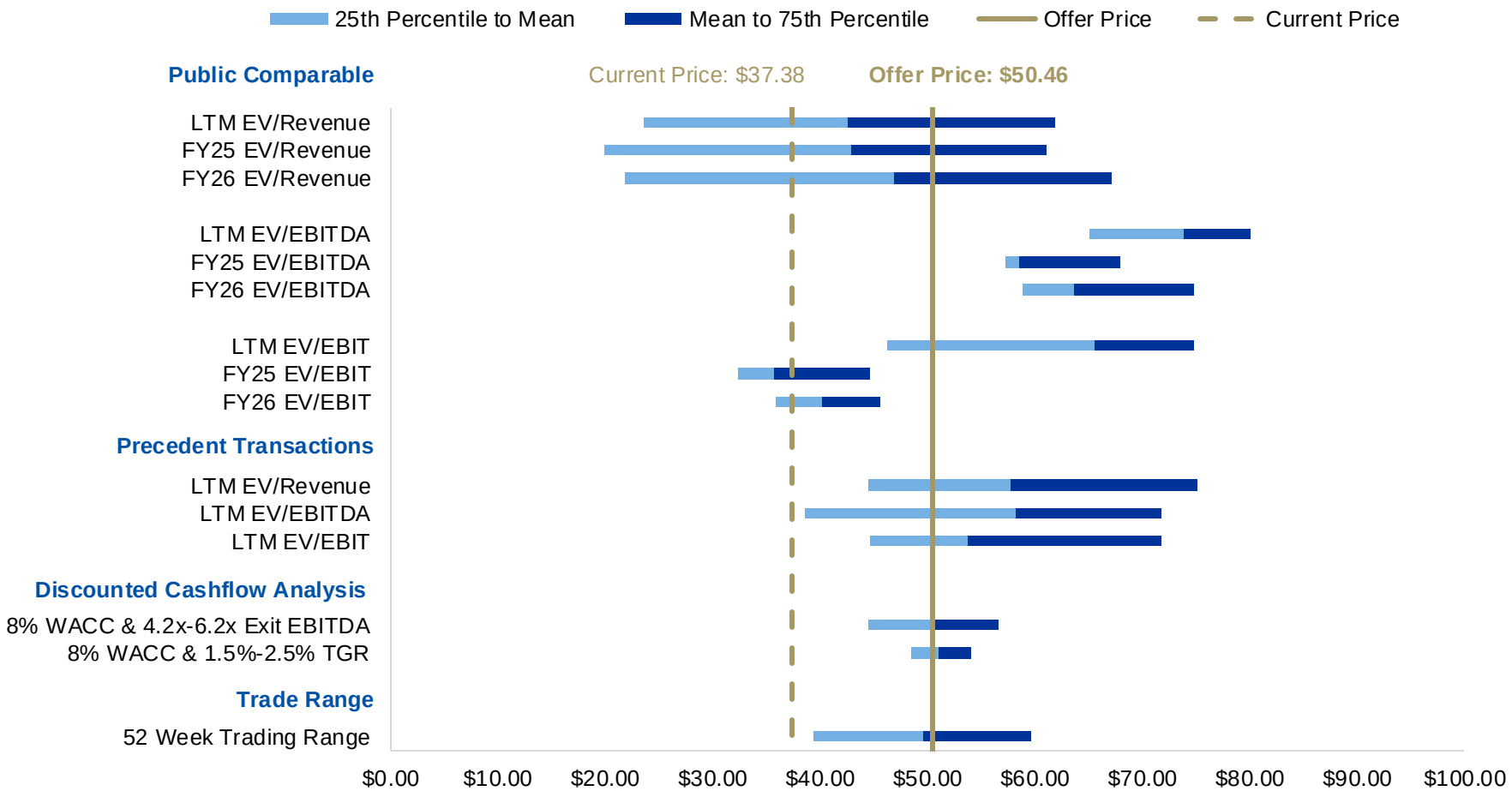
[Dave & Buster's Valuation Summary]

Section III

Capital Markets

Overview of Valuations

Football Field Analysis



Current Price:	$37.38
Offer Price:	$50.46
Premium %:	**35.00%**

Notes: Market Price as of Oct 27, 2024

Dave & Buster's Discounted Cash Flow Analysis

Dave & Buster's Stock Price is Undervalued

Implied Share Price

Val Sum: Perpetuity Growth & EBITDA Multiple	Perpetuity	Exit Multiple
Applicable Metrics (TGR & Exit EBITDA)	2.00%	5.19x
Equity Value	2,110.02	2,068.15
Fully Dilutive Shares Outstanding	40.86	40.86
Implied Share Price	**$51.64**	**$50.62**
Upside (Down Side)	**38.15%**	**35.41%**

Sensitivity Analysis: WACC & EXIT EBITDA Multiple

		WACC				
		7.00%	7.50%	8.00%	8.50%	9.00%
EXIT EBITDA Multiple	4.20x	$41.48	$39.99	$38.53	$37.12	$35.74
	4.70x	$47.80	$46.16	$44.57	$43.02	$41.50
	5.20x	$54.13	$52.34	$50.61	$48.91	$47.27
	5.70x	$60.45	$58.52	$56.64	$54.81	$53.03
	6.20x	$66.77	$64.70	$62.68	$60.71	$58.80

Dave & Buster's Price Movement

Notable Prices for Dave & Buster's	
52 Week High	$69.82
52 Week Low	$29.31
52 Week Median	$49.57
Price Today	$37.38
Price One Week Ago	$35.43
Price One Month Ago	$33.61

Sensitivity Analysis: WACC & Terminal Growth Rate

		WACC				
		7.00%	7.50%	8.00%	8.50%	9.00%
Terminal Growth Rate	1.50%	$60.32	$52.53	$45.95	$40.31	$35.42
	1.75%	$63.93	$55.50	$48.42	$42.40	$37.20
	2.00%	$67.90	$58.74	$51.10	$44.64	$39.11
	2.25%	$72.30	$62.28	$54.02	$47.07	$41.16
	2.50%	$77.18	$66.18	$57.19	$49.70	$43.37

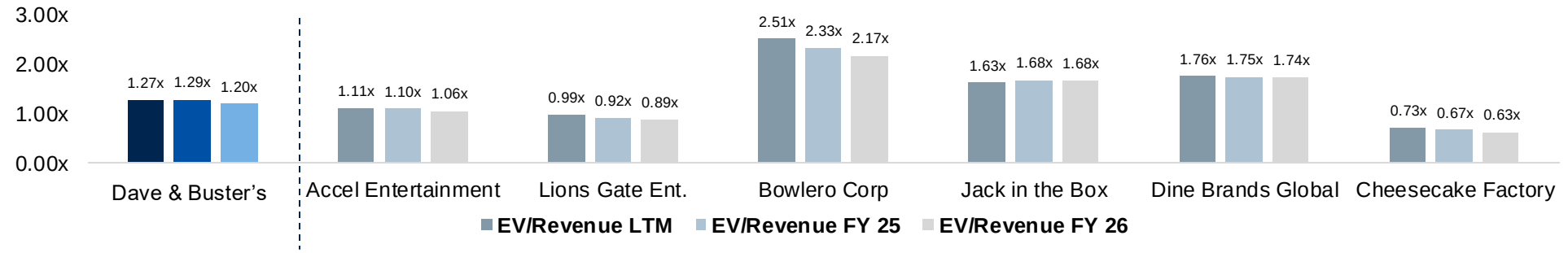
Notes: Market Price as of Oct 27, 2024

Dave & Buster's Public Comparable Analysis

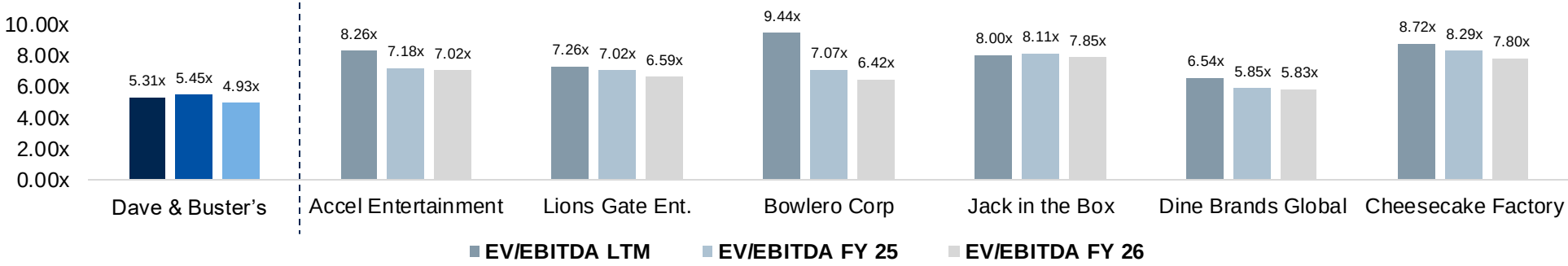
Dave & Buster's Trades on Lower Multiples Compared to its Comparable Companies

Left to Right: LTM to FY 26

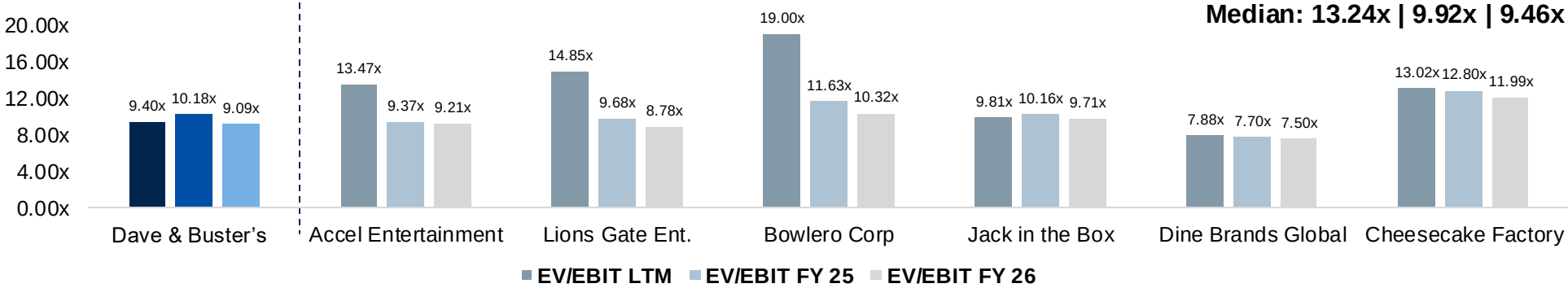
Median: 1.37x | 1.39x | 1.37x



Median: 8.13x | 7.13x | 6.80x



Median: 13.24x | 9.92x | 9.46x



Dave & Buster's Public Comparable Analysis

Price Ranges with Multiples

EV/Revenue: Range of Multiples

	EV/Revenue LTM	EV/Revenue FY25	EV/Revenue FY26
Maximum	2.51x	2.33x	2.17x
75th Percentile	1.73x	1.73x	1.72x
Median	**1.73x**	**1.39x**	**1.37x**
25th Percentile	1.02x	0.96x	0.93x
Minimum	0.73x	0.67x	0.63x

Implied Price Range: $19.98 - $67.24

25th Percentile	Median	75th Percentile
$23.62	$42.67	$61.90
$19.98	$42.86	$61.19
$21.82	$46.89	$67.24

EV/EBITDA: Range of Multiples

	EV/EBITDA LTM	EV/EBITDA FY25	EV/EBITDA FY26
Maximum	9.44x	8.29x	7.85x
75th Percentile	8.60x	7.88x	7.60x
Median	**8.13x**	**7.13x**	**6.80x**
25th Percentile	7.45x	7.03x	6.46x
Minimum	6.54x	5.85x	5.83x

Implied Price Range: $57.29 - $80.10

25th Percentile	Median	75th Percentile
$62.10	$73.94	$80.10
$57.29	$58.53	$67.99
$58.83	$63.62	$74.84

EV/EBIT: Range of Multiples

	EV/EBIT LTM	EV/EBIT FY25	EV/EBIT FY26
Maximum	19.00x	12.80x	11.99x
75th Percentile	14.50x	11.26x	10.16x
Median	**13.24x**	**9.92x**	**9.46x**
25th Percentile	10.61x	9.45x	9.46x
Minimum	7.88x	7.70x	7.50x

Implied Price Range: $32.45 - $74.78

25th Percentile	Median	75th Percentile
$46.26	$65.52	$74.78
$32.45	$35.66	$44.73
$35.90	$40.19	$45.56

Dave & Buster's Precedent Transaction Analysis

List of Companies with Highest Similarities across a 20 Year Time Frame

Target	**AMF Bowling Worldwide, Inc.**	**AMC Entertainment, Inc.**	**Argosy Gaming Co.**	**Ameristar Casinos, Inc.**
Main Acquirer	Code Hennessy & Simmons LP	Apollo Advisors LP	Penn National Gaming, Inc.	Pinnacle Entertainment, Inc.
Date	November 28, 2003	July 22, 2004	November 3, 2004	December 21, 2012
Transaction EV	623.82	1,316.86	2,132.21	2,675.30
LTM Revenue	664.97	1,798.24	1,017.03	1,202.56
LTM EBITDA	119.78	240.83	264.99	337.24
LTM EBIT	44.83	113.37	201.39	229.42

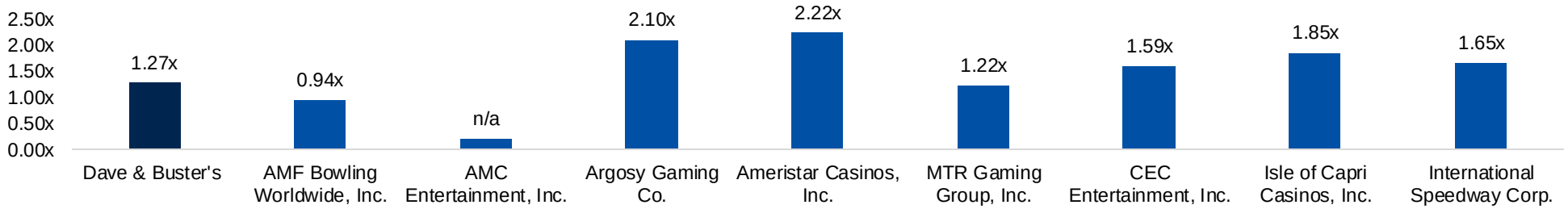
Target	**MTR Gaming Group, Inc.**	**CEC Entertainment, Inc.**	**Isle of Capri Casinos, Inc.**	**International Speedway Corp.**
Main Acquirer	Eldorado Resorts LLC	Apollo Global Management LLC	Eldorado Resorts, Inc.	Nascar Holdings, Inc.
Date	September 9, 2013	January 16, 2014	September 19, 2016	November 9, 2018
Transaction EV	630.85	1,308.86	1,794.85	1,165.31
LTM Revenue	518.61	821.72	972.52	706.10
LTM EBITDA	104.68	167.69	204.34	222.72
LTM EBIT	74.18	88.17	122.28	118.60

Dave & Buster's Precedent Transaction Analysis

Multiples Visualization

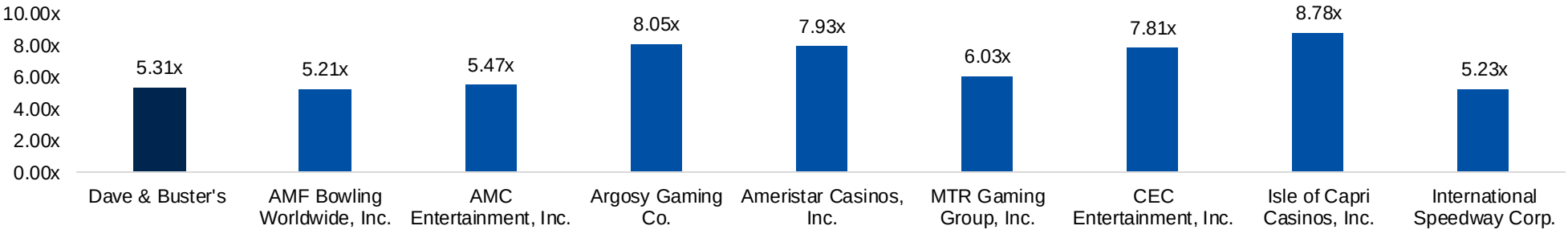
LTM TEV/Revenue

Median: 1.65x
Price Range: $44.48 - $75.13



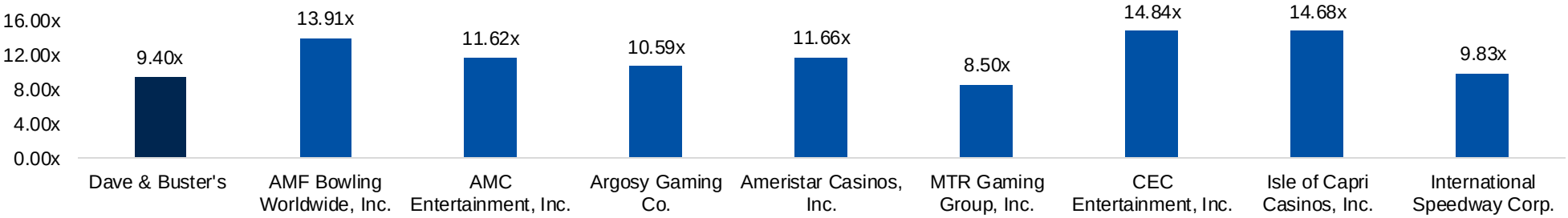
LTM TEV/EBITDA

Median: 6.92x
Price Range: $38.67 - $71.79



LTM TEV/EBIT

Median: 11.64x
Price Range: $44.68 - $71.86



Valuation Summary

An Offered Price Premium of 35% is Warranted

Discounted Cash Flow Analysis

- Fair assumptions of a **revenue growth rate of 7%** and a **terminal growth rate of 2%** based on industry trends and analyst estimates were chosen
- These assumptions yield a point estimated fair price of **$51.64**

Public Comparable Analysis

- Peers were chosen as players in the restaurant services industry or the entertainment industry
- EV/Revenue, EV/EBITDA, and EV/EBIT multiples show prices are undervalued

Precedent Transactions Analysis

- Past transactions were chosen on a **timeframe of 20 years** to ensure they are the most similar transactions
- Based on 8 transactions, fair prices were ranged between **$44.48 - $75.13**

Concluding Offer Price

- Based on all valuation methods employed, we believe a **35% premium** (as of now) is warranted, which results in a share price of **$50.46**
- Although the premium is higher than the **industry average of 22% - 28%**, we believe the **price will rise accordingly** before the transaction takes place

[Selected Participants]

Section IV

Selected Participants

Selected Industry and Private Capital Players

Company	Key Information $ In Billions	Company	Dry Powder $ In Billions	RBC Affiliation
The Cheesecake Factory	▪ Industry: LSR ▪ Market Cap: $2,372M (USD) ▪ Recent M&A: Fox Restaurant | $220M ▪ Synergy: Diversification into entertainment	KKR	▪ $43.20B	☑
rbi restaurant brands international	▪ Industry: LSR ▪ Market Capital: $44,934M (CAD) ▪ Recent M&A: Carrols | $1B ▪ Synergy: Diversification into entertainment	Blackstone	▪ $36.20B	☑
Six Flags Entertainment Corporation	▪ Industry: Amusement and Recreation ▪ Market Cap: $4,110M (USD) ▪ Recent M&A: Cedar Fair | $8B ▪ Synergy: Unified play experience	The Carlyle Group	▪ $26.90B	☑
MGM RESORTS	▪ Industry: Physical and Online Casinos ▪ Market Cap: $12,830M (USD) ▪ Recent M&A: Push Gaming | $150M ▪ Synergy: Diversification in age groups	BainCapital	▪ $21.70B	☑

Sources: FactSet, S&P Global Market Intelligence, Preqin

[Overview of MGM Resorts and Industry Landscape]

Section V

Buyer's Profile

Overview of MGM Resorts International

Description

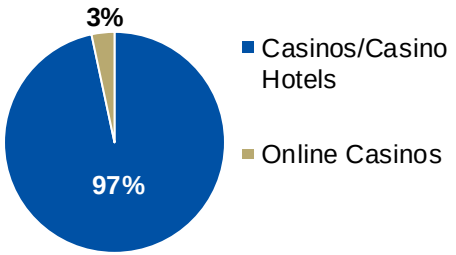
- American Casino/Hotel business offering a combined experience of casinos and resorts, along with online casinos. MGM Resorts International currently owns 31 unique hotels and gaming destinations in the United States, China, and Japan

General Overview

- Headquarters**:** Las Vegas, NV
- Founder: Kirk Kerkorian
- Founded: 1986
- Traded As: MGM(NYSE)
- Joint Venture: Bet MGM, LLC
- Industry: Physical and Online Casinos, Gaming

Revenue Segmentation

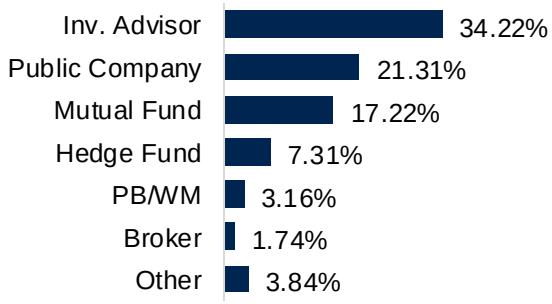
- **Casinos/Casino Hotels**
  - Sales from 31 physical locations globally, including casinos and hotels attached to them
- **Online Casinos**
  - Online sales from its joint venture Bet MGM regardless of time and space

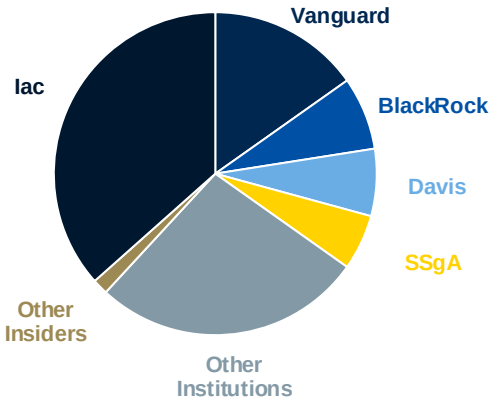


Financial Information

- **Share Price**: $ 40.36 (as of Oct 27, 2024)
- **Market Cap**: $ 12.26B (as of Oct 27, 2024)
- **Revenue**: $ 17.27B (Sep 2024)
- **EBITDA**: $ 2556.99M (Sep 2024)
- **EPS**: $ 2.80 (Sep 2024)
- **P/E Ratio**: 14.80 (Sep 2024)
- **Credit Rating**: B+ Rating – S&P

Ownership Information





Sources: IBISWorld, FactSet

Casino Industry Landscape

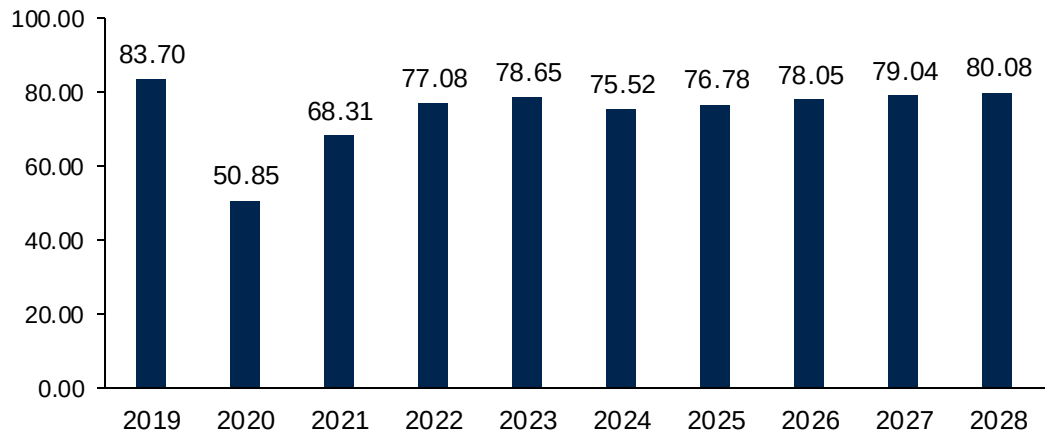
Overview of Casino Industry

Casino Industry Overview

- Emphasizing multifaceted entertainment venues and **expanding entertainment options** to appeal to a wider client base, mainly younger generation
- Providing **non-gaming amenities** such as spa, theater, screen golf, retail shopping, or fine dining to attract new customers
- Increasing importance of **food and alcohol**, accounting for more than 10.00% of total company revenue for major players

Industry Revenue Growth Expectations

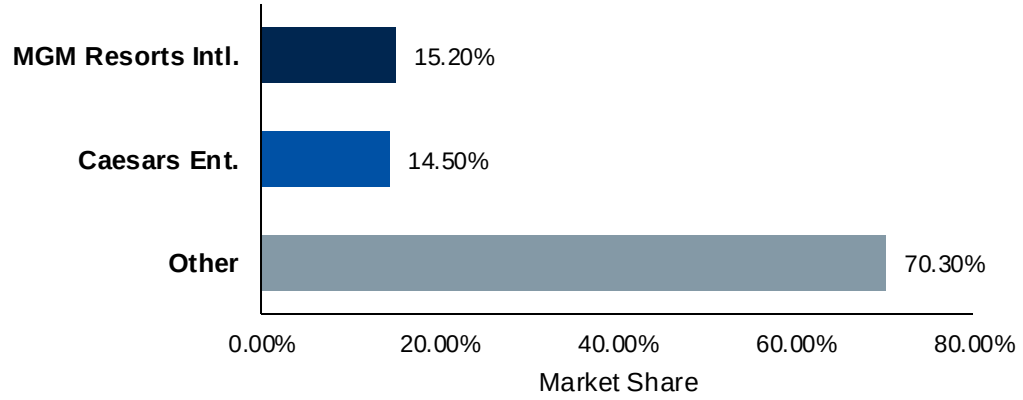
$ In Billions



Key External Drivers & Expectations

#1 Domestic Trips by US Residents	Positive
#2 Consumer Spending	Positive
#3 Consumer Confidence Index	Positive
#4 Inbound Trips by Non-US Residents	Positive
#5 Time Spent on Leisure and Sports	Positive

Major Players



Sources: IBISWorld

[Deal Rationale, Potential Risks, and Mitigations]

Section VI

Deal Rationale

MGM Resorts International's Acquisition of Dave & Buster's

Key Takeaways	Projected Benefits
Expanding Market Reach	▪ **New Target Demographics**: Dave & Buster's offers a social, gaming-centric environment that appeals to younger adults and families ▪ **Increased Hotel and Resort Stays**: Access to new demographics makes these groups more inclined to choose MGM resorts, creating cross-promotional opportunities and driving occupancy
Geographic Expansion	▪ **Market Penetration**: MGM's properties are primarily located in high-traffic tourist locations. Acquiring Dave & Buster's allows MGM to penetrate suburban and urban areas ▪ **Gain Physical Footprint**: With Dave & Buster's existing 150+ locations, MGM gains a broad physical footprint, broadening its presence across the United States
Strengthening Non-Gaming Revenue Streams	▪ **Diversification**: Dave & Buster's non-gaming revenue driven by food and entertainment aligns with MGM's ongoing strategy to diversity beyond gaming ▪ **Revenue Stability**: This acquisition helps MGM with revenue stability and reducing dependence on gambling alone
EPS Accretion and Long-Term Value Creation	▪ **Support Financial Health**: This acquisition is expected to be earnings accretive due to its strong cash flow generation supporting MGM's financial health ▪ **Enhance Profitability**: MGM's existing scale and expertise in hospitality management can enhance Dave & Buster's profitability and operating margins over time

Potential Risks and Mitigations

4 Major Risks and Possible Solutions

Cultural Integration

- Dave and Buster's family-oriented casual entertainment culture can clash with MGM Resort's high-end hospitality culture

- **Cultural Training** for both cultures to ensure effective assimilation and harmony
- Develop **Targeted Marketing** campaigns such as "*Something for Everyone*"
- **Segmenting Spaces** within shared properties to allow both brands to maintain unique atmosphere

Operational Integration

- Difference between two operational model can lead to inefficiency and cause logistic issues that impacts service quality

- **Create Integration Team** to harmonize the process that two model shares (Customer service, Supply Chain, IT system)
- **Form Pilot Program** to test potential operational problems
- **Implement Cross-Training Program** for employees to familiarize both indoor and outdoor entertainment operations

Ethical Dilemma

- The acquisition may raise ethical concerns about increased exposure to young adults to gaming, possibly leading to higher risk of future gambling addiction

- Strictly enforce **Age-Appropriate** content and maintain a separation between arcade gaming and gambling promotions within Dave & Buster's locations
- Develop a clear **Responsible Gaming Policy** working with state regulators to establish guidelines that address gaming addiction risks for younger audiences

Financial Risk

- Acquiring Dave & Buster's may strain MGM's finances in the short term, impacting cash flow, debt ratios, and potentially diluting EPS if integration costs are high

- Ensure RBC will support **Professional Due Diligence** to support MGM in the integration of Dave & Buster's into its business
- Set **Targeted Milestones** for revenue growth and synergy realization within the first 2-3 years to keep integration on track and **Optimize Post-Acquisition Value**, ultimately benefiting EPS accretion over time

[Summary and Recommendations]

Section VII

Summary and Recommendations

Position MGM Resorts as the Acquirer in this Strategic M&A Deal

Why MGM Resorts?

- MGM Resorts offers strategic advantages such as **access to a broader customer base**, deeper **market penetration** into both urban and suburban areas, and the addition of a **new revenue stream** outside the traditional gambling sector. This strategic advantage will allow a high offer price premium for Dave & Buster's

M&A Summary

- Three valuation models: Discounted Cash Flow, Public Comparable Companies Analysis, Precedent Transaction Analysis
- The offer price per share is situated **$50.46** with **35% premium**
- Potential buyers are Cheesecake Factory, RBI, Six Flags, and MGM Resorts

Expected Synergy

- Dave & Buster's can strengthen its **hospitality management capabilities** and improve **profitability** by leveraging MGM Resorts' industry expertise
- MGM Resorts can **create new revenue streams** by incorporating Dave & Buster's business model, broadening its appeal to a wider range of customers

Role of RBC

- RBC can offer Dave and Buster's **a competitive premium** that exceeds benchmarks from precedent transactions
- RBC can effectively persuade MGM Resorts the **strategic synergies** that have the potential to drive substantial revenue growth and enhance market diversification

[Appendix]

Section VIII

Appendix: Three Statement Model

	Actuals			Projections				
$ in Millions	**FY 2021**	**FY 2022**	**FY 2023**	**FY 2024**	**FY 2025**	**FY 2026**	**FY 2027**	**FY 2028**
Income Statement								
Revenue	1,304.00	1,964.40	2,205.30	2,359.67	2,524.85	2,701.59	2,890.70	3,093.05
COGS	(204.90)	(308.90)	(337.00)	(367.48)	(393.20)	(420.72)	(450.17)	(481.69)
Gross Profit Margin	**1,099.10**	**1,655.50**	**1,868.30**	**1,992.20**	**2,131.65**	**2,280.86**	**2,440.53**	**2,611.36**
SG&A	(75.50)	(137.80)	(122.60)	(144.44)	(154.56)	(165.37)	(176.95)	(189.34)
OpExpense	(698.10)	(1,085.90)	(1,230.60)	(1,294.80)	(1,385.44)	(1,482.42)	(1,586.19)	(1,697.22)
D&A	(138.30)	(169.30)	(208.50)	(219.38)	(231.40)	(244.59)	(259.00)	(274.70)
EBIT or Operating Income	**187.20**	**262.50**	**306.60**	**333.57**	**360.26**	**388.49**	**418.39**	**450.11**
Interest Expense, net	(53.90)	(87.40)	(127.40)	(129.15)	(124.70)	(123.88)	(123.06)	(122.24)
Loss on Debt Refinancing	(5.60)	(1.50)	(16.10)	(7.73)	(7.73)	(7.73)	(7.73)	(7.73)
EBT	**127.70**	**173.60**	**163.10**	**196.68**	**227.83**	**256.88**	**287.60**	**320.14**
Income Taxes	(19.00)	(36.50)	(36.20)	(38.09)	(44.12)	(49.75)	(55.70)	(62.00)
Net Income	**108.70**	**137.10**	**126.90**	**158.59**	**183.71**	**207.13**	**231.90**	**258.14**
Margins / Growth Rates								
Revenue Growth Rate	198.73%	50.64%	12.26%	7.00%	7.00%	7.00%	7.00%	7.00%
COGS as a % of Revenue	15.71%	15.72%	15.28%	15.57%	15.57%	15.57%	15.57%	15.57%
SG&A as a % of Revenue	5.79%	7.01%	5.56%	6.12%	6.12%	6.12%	6.12%	6.12%
OpExpense as % of Revenue	53.54%	55.28%	55.80%	54.87%	54.87%	54.87%	54.87%	54.87%
Interest Earned on Cash								
Interest Rate on Debt	12.49%	7.10%	9.85%	9.82%	9.82%	9.82%	9.82%	9.82%
Tax Rate	14.88%	21.03%	22.19%	19.37%	19.37%	19.37%	19.37%	19.37%
Notes: SG&A Growth Rate				17.82%	7.00%	7.00%	7.00%	7.00%

Appendix: Three Statement Model

	Actuals				Projections			
$ in Millions	**FY 2021**	**FY 2022**	**FY 2023**	**FY 2024**	**FY 2025**	**FY 2026**	**FY 2027**	**FY 2028**
Balance Sheet								
Current assets:								
Cash and cash equivalents	25.91	181.60	37.30	85.84	131.30	229.51	341.40	467.92
Inventories	40.32	45.40	37.20	55.63	59.52	63.69	68.15	72.92
Prepaid expenses	11.32	19.50	18.20	19.47	20.84	22.30	23.86	25.53
Income taxes receivable	64.92	25.50	22.90	22.90	22.90	22.90	22.90	22.90
Accounts receivable	3.11	21.70	21.90	18.37	19.66	21.03	22.51	24.08
Total Current Assets	**145.57**	**293.70**	**137.50**	**202.22**	**254.21**	**359.43**	**478.81**	**613.35**
Property and equipment	778.60	1,180.20	1,332.70	1,430.64	1,538.77	1,657.48	1,787.21	1,928.46
Operating lease right of use assets, net	1,037.20	1,333.60	1,323.30	1,323.30	1,323.30	1,323.30	1,323.30	1,323.30
Deferred tax assets	9.96	0.50	6.00	6.00	6.00	6.00	6.00	6.00
Tradenames	79.00	178.20	178.20	178.20	178.20	178.20	178.20	178.20
Goodwill	272.60	744.50	742.50	742.50	742.50	742.50	742.50	742.50
Other assets and deferred charges	22.87	30.30	34.20	36.59	39.16	41.90	44.83	47.97
Total Assets	**2,345.79**	**3,761.00**	**3,754.40**	**3,919.45**	**4,082.14**	**4,308.81**	**4,560.85**	**4,839.78**
LIABILITIES								
Current liabilities:								
Current installments of long-term debt	-	8.50	9.00	6.11	5.90	5.86	5.82	5.78
Accounts payable	62.49	84.70	118.60	114.05	122.04	130.58	139.72	149.50
Accrued liabilities	248.49	342.90	306.00	306.00	306.00	306.00	306.00	306.00
Income taxes payable	0.53	1.90	2.00	2.00	2.00	2.00	2.00	2.00
Total Current Liabilities	**311.52**	**438.00**	**435.60**	**428.16**	**435.93**	**444.44**	**453.54**	**463.28**
Deferred income taxes	12.01	66.30	89.80	89.80	89.80	89.80	89.80	89.80
Operating lease liabilities	1277.54	1567.80	1558.50	1558.50	1558.50	1558.50	1558.50	1558.50
Other long-term liabilities	37.87	55.70	135.30	103.47	99.90	99.24	98.59	97.93
Long-term debt, net	431.40	1222.70	1284.00	1309.73	1264.51	1256.21	1247.90	1239.60
Total Liabilities	**2070.33**	**3350.50**	**3503.20**	**3489.66**	**3448.64**	**3448.19**	**3448.33**	**3449.11**
STOCKHOLDER'S EQUITY								
Common stock	0.62	0.60	0.60	0.60	0.60	0.60	0.60	0.60
Preferred stock	-	-	-	-	-	-	-	-
Paid-in capital	548.78	577.50	597.60	617.60	637.60	657.60	677.60	697.60
Treasury stock	(605.44)	(639.00)	(945.30)	(945.30)	(945.30)	(945.30)	(945.30)	(945.30)
Accumulated other comprehensive loss	(3.63)	(0.90)	(0.90)	(0.90)	(0.90)	(0.90)	(0.90)	(0.90)
Retained earnings	335.13	472.30	599.20	757.79	941.50	1,148.63	1,380.53	1,638.67
Total Stockholders' Equity	**275.46**	**410.50**	**251.20**	**429.79**	**633.50**	**860.63**	**1,112.53**	**1,390.67**
Total Liabilities and Stockholders' Equity	**2,345.79**	**3,761.00**	**3,754.40**	**3,919.45**	**4,082.15**	**4,308.82**	**4,560.86**	**4,839.78**

Appendix: Three Statement Model

Schedules								
Revenue	1,304.00	1,964.40	2,205.30	2,359.67	2,524.85	2,701.59	2,890.70	3,093.05
Accounts Receivable	3.11	21.70	21.90	18.37	19.66	21.03	22.51	24.08
DSO	**0.87**	**4.03**	**3.62**	**2.84**	**2.84**	**2.84**	**2.84**	**2.84**
COGS	204.90	308.90	337.00	367.48	393.20	420.72	450.17	481.69
Inventory	40.32	45.40	37.20	55.63	59.52	63.69	68.15	72.92
DIO	**71.82**	**53.65**	**40.29**	**55.25**	**55.25**	**55.25**	**55.25**	**55.25**
COGS	204.90	308.90	337.00	367.48	393.20	420.72	450.17	481.69
Accounts Payable	62.49	84.70	118.60	114.05	122.04	130.58	139.72	149.50
DPO	**111.32**	**100.08**	**128.45**	**113.29**	**113.29**	**113.29**	**113.29**	**113.29**
Revenue	1,304.00	1,964.40	2,205.30	2,359.67	2,524.85	2,701.59	2,890.70	3,093.05
Capex	(92.20)	(234.20)	(330.20)	(317.32)	(339.53)	(363.30)	(388.73)	(415.94)
Capex as a % of Revenue	7.07%	11.92%	14.97%	13.45%	13.45%	13.45%	13.45%	13.45%
Long Term Debt BB	646.51	469.26	1,286.90	1,428.30	1,419.30	1,370.30	1,361.30	1,352.30
Net Borrowing	75.75	833.74	307.90	-	400.00	-	-	-
Debt Repayment	253.00	16.10	166.50	9.00	449.00	9.00	9.00	9.00
Long Term Debt EB	**469.26**	**1,286.90**	**1,428.30**	**1,419.30**	**1,370.30**	**1,361.30**	**1,352.30**	**1,343.30**
Long Term Debt Proportions Ratio								
Current Portion of Long Term Debt	0.00%	0.66%	0.63%	0.43%	0.43%	0.43%	0.43%	0.43%
Other Long Term Liabilities	8.07%	4.33%	9.47%	7.29%	7.29%	7.29%	7.29%	7.29%
Long Term Debt	91.93%	95.01%	89.90%	92.28%	92.28%	92.28%	92.28%	92.28%
Long Term Debt EB	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%	100.00%

Appendix: DCF Valuation

$ in Millions	FY 2024	FY 2025	FY 2026	FY 2027	FY 2028
		Projections			
Unlevered Free Cash Flow					
EBITDA	552.95	591.66	633.07	677.39	724.81
EBIT	333.57	360.26	388.49	418.39	450.11
Tc	19.37%	19.37%	19.37%	19.37%	19.37%
EBIT (1-T)	268.97	290.49	313.25	337.36	362.94
Operating Cash Flow	**488.35**	**521.89**	**557.84**	**596.36**	**637.64**
CF NWC	(20.72)	1.44	1.54	1.65	1.76
CapEx	(317.32)	(339.53)	(363.30)	(388.73)	(415.94)
Unlevered Free Cash Flow	**150.31**	**183.80**	**196.08**	**209.28**	**223.46**
PV of Free Cash Flows	**139.23**	**157.69**	**155.82**	**154.05**	**152.35**

Terminal Value: EBITDA Multiple Approach	
EV/ EBITDA Multiple	5.19x
2028 Expected EBITDA	724.81
Terminal Value in 2028	3,761.75
PV of Terminal Value	2,564.71
EV	3,323.85

Terminal Value: Perpetuity Growth	
Terminal Growth Rate	2.00%
2028 FCF * (1+g)	227.93
Terminal Value in 2028	3,823.16
PV of Terminal Value	2,606.58
EV	3,365.72

Notes: Market Price as of Oct 27, 2024

Appendix: Net Debt and WACC Calculations

WACC	
Market Cap	1,527.35
Fully Diluted Shares Outstanding	40.86
Price (as of Oct 27, 2024)	$ 37.38
Total Debt (Approximated with Book Value)	1,293.00
D+E	2,820.35
D/(D+E)	45.85%
Corporate Tax Rate	22.19%
Cost of Debt	7.50%
Risk Free Rate	4.24%
Market Risk Premium	4.60%
Levered Equity Beta	1.20
E/(D+E)	54.15%
Cost of Equity	9.76%
WACC	**7.96%**

Net Debt Calculation ($ in Millions)	
(+) Total Debt	1,293.00
(+) Preferred Stocks	-
(+) Other NCI	-
(-) Cash	(37.30)
(-) Marketable Securities	-
Net Debt	**1,255.70**

Notes: Market Price as of Oct 27, 2024

Appendix: Public Comparable Analysis

Company	Equity Value / Market Cap	Enterprise Value
Dave & Buster's	1,527.35	2,815.65
Accel Entertainment, Inc	1,019.68	1,330.48
Lions Gate Entertainment Corp. A	1,929.86	3,895.26
Bowlero Corp. Class A	1,825.58	2,897.28
Jack in the Box, Inc	914.53	2,598.10
Dine Brands Global, Inc	458.03	1,444.60
Cheesecake Factory, Inc	2,115.57	2,546.00

EV/Revenue			EV/EBITDA			EV/EBIT		
LTM	FY 25	FY 26	LTM	FY 25	FY 26	LTM	FY 25	FY 26
1.27x	1.29x	1.20x	5.31x	5.45x	4.93x	9.40x	10.18x	9.09x
1.11x	1.10x	1.06x	8.26x	7.18x	7.02x	13.47x	9.37x	9.21x
0.99x	0.92x	0.89x	7.26x	7.02x	6.59x	14.85x	9.68x	8.78x
2.51x	2.33x	2.17x	9.44x	7.07x	6.42x	19.00x	11.63x	10.32x
1.63x	1.68x	1.68x	8.00x	8.11x	7.85x	9.81x	10.16x	9.71x
1.76x	1.75x	1.74x	6.54x	5.85x	5.83x	7.88x	7.70x	7.50x
0.73x	0.67x	0.63x	8.72x	8.29x	7.80x	13.02x	12.80x	11.99x

Percentiles	LTM EV/Revenue	FY25 EV/Revenue	FY 26 EV/Revenue	LTM EV/EBITDA	FY25 EV/EBITDA	FY26 EV/EBITDA	LTM EV/EBIT	FY25 EV/EBIT	FY26 EV/EBIT
Maximum	2.51x	2.33x	2.17x	9.44x	8.29x	7.85x	19.00x	12.80x	11.99x
75th	1.73x	1.73x	1.72x	8.60x	7.88x	7.60x	14.50x	11.26x	10.16x
Median	**1.37x**	**1.39x**	**1.37x**	**8.13x**	**7.13x**	**6.80x**	**13.24x**	**9.92x**	**9.46x**
25th	1.02x	0.96x	0.93x	7.45x	7.03x	6.46x	10.61x	9.45x	8.89x
Minimum	0.73x	0.67x	0.63x	6.54x	5.85x	5.83x	7.88x	7.70x	7.50x

Notes: Market Price as of Oct 27, 2024

Appendix: Precedent Transactions Analysis

Dave & Buster's Comparable M&A Transactions				Operating Metrics		
Target Name	Main Acquirer Name	Date	TEV	LTM Revenue	LTM EBITDA	LTM EBIT
AMC Entertainment, Inc.	Apollo Advisors LP	July 22, 2004	1,316.86	1,798.24	240.83	113.37
Isle of Capri Casinos, Inc.	Eldorado Resorts, Inc.	September 19, 2016	1,794.85	972.52	204.34	122.28
International Speedway Corp.	Nascar Holdings, Inc.	November 9, 2018	1,165.31	706.10	222.72	118.60
CEC Entertainment, Inc.	Apollo Global Management LLC	January 16, 2014	1,308.86	821.72	167.69	88.17
Ameristar Casinos, Inc.	Pinnacle Entertainment, Inc.	December 21, 2012	2,675.30	1,202.56	337.24	229.42
Argosy Gaming Co.	Penn National Gaming, Inc.	November 3, 2004	2,132.21	1,017.03	264.99	201.39
AMF Bowling Worldwide, Inc.	Code Hennessy & Simmons LP	November 28, 2003	623.82	664.97	119.78	44.83
MTR Gaming Group, Inc.	Eldorado Resorts LLC	September 9, 2013	630.85	518.61	104.68	74.18

Valuation Multiples			Undisturbed Share Price				Premiums Paid		
TEV/LTM Revenue	TEV/LTM EBITDA	TEV/LTM EBIT	Offer Price	1-Day Prior	2-Week Prior	1Month Prior	1-Day Prior	2-Week Prior	1Month Prior
n/a	5.47x	11.62x	$19.50	$17.16	$14.35	$15.80	13.64%	35.89%	23.42%
1.85x	8.78x	14.68x	$23.14	$16.93	$17.30	$18.07	36.68%	33.76%	28.06%
1.65x	5.23x	9.83x	$45.00	$39.50	$37.86	$43.80	13.92%	18.86%	2.74%
1.59x	7.81x	14.84x	$54.00	$48.43	$49.56	$44.40	11.50%	8.96%	21.62%
2.22x	7.93x	11.66x	$26.50	$22.07	$20.73	$17.59	20.07%	27.83%	50.65%
2.10x	8.05x	10.59x	$47.00	$40.38	$42.32	$37.21	16.39%	11.06%	26.31%
0.94x	5.21x	13.91x	$25.00	$24.63	$24.63	$25.40	1.50%	1.50%	(1.57%)
1.22x	6.03x	8.50x	$6.05	$3.58	$3.75	$3.49	68.99%	61.33%	73.35%

Quartile	TEV	LTM REV	LTM EBITDA	LTM EBIT	TEV / LTM REV	TEV / LTM EBITDA	TEV / LTM EBIT	Premium / 1-Day	Premium / 2-Week	Premium / 1-Month
Maximum	2,675.30	1,798.24	337.24	229.42	2.22x	8.78x	14.84x	68.99%	61.33%	73.35%
75th Percentile	1,879.19	1,063.41	246.87	142.06	1.97x	7.96x	14.11x	24.22%	34.29%	33.71%
Median	1,312.86	897.12	213.53	115.98	1.65x	6.92x	11.64x	15.16%	23.35%	24.86%
Mean	1,456.01	962.72	207.78	124.03	1.65x	6.81x	11.95x	22.84%	24.90%	28.07%
25th Percentile	1,031.69	695.81	155.71	84.67	1.40x	5.41x	10.40x	13.10%	10.53%	16.90%
Minimum	623.82	518.61	104.68	44.83	0.94x	5.21x	8.50x	1.50%	1.50%	(1.57%)

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